

PUBLIC PROVIDENT FUNDS (PPF)

We see that EPF and VPF are two provident funds under which the salaried class can invest their money. However, for the self-employed, there was no such provident fund. As a result, the Government introduced the public provident fund. We have already discussed PPF in detail in the small saving schemes section. It works similarly. An individual contributes to the fund every year and then gets a lump-sum on maturity. The interest rate for PPF also keeps on changing. PPF comes with a 15-year lock-in which is relatively stricter than EPF restrictions. Also, through PPF we can claim tax benefits under Section 80C up to Rs. 1.5 lac per year.

With this, we end our discussion on provident funds. It is suggested that one must have a combination of these provident funds and assets such as mutual funds when planning for long term finances and particularly those relating to retirement. It provides stability and security as well as higher returns. At the same time, it also forces us to be disciplined as it comes in with lock-ins and restrictions on withdrawals.

